Indian Financial Condition Report

Macroeconomic Stability & Sectoral Deep-Dive
Fiscal Year 2026 Analysis

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SECTION 01

GDP Growth & Macroeconomic Fundamentals

PRIMARY EXTRACTION TARGET

India's real GDP growth stabilized at 6.8% for FY26, cementing its position as the fastest-growing major economy globally.

Current Domestic Context

Rupee internationalization efforts have gained measurable traction, with several bilateral trade settlements now being executed entirely in INR. Green bond issuances by Indian corporates surged as ESG mandates from institutional investors became a prerequisite for global capital allocation. Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion. The formalization of the MSME sector, heavily aided by the Goods and Services Tax (GST) architecture, has expanded the addressable market for digital lending.

The ongoing structural shift from physical assets (gold, real estate) to financialized savings continues to channel immense liquidity into the capital markets. The Securities and Exchange Board of India (SEBI) introduced tighter margin norms to curb speculative retail trading in the derivatives market. Accelerated infrastructure spending under the National Infrastructure Pipeline (NIP) has successfully catalyzed complementary private capital expenditure. The Reserve Bank of India (RBI) continues to monitor core inflation metrics rigidly, prioritizing macroeconomic stability over aggressive short-term growth.

Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	111.6	117.2	127.3
Digital Adoption Rate (%)	57.9%	72.2%	77.9%
Regulatory Compliance Score	77/100	82/100	95/100

Strategic Outlook & Forecast

Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion. The rapid, ubiquitous adoption of the Unified Payments Interface (UPI) has fundamentally transformed the retail payment landscape, driving financial formalization. India's demographic dividend and an expanding, aspirational middle class remain structural tailwinds for retail credit expansion.

SECTION 02

Monetary Policy & RBI Directives

PRIMARY EXTRACTION TARGET

The RBI Monetary Policy Committee held the benchmark repo rate at 6.25% through Q2 2026, citing resilient domestic demand and manageable inflation.

Current Domestic Context

Accelerated infrastructure spending under the National Infrastructure Pipeline (NIP) has successfully catalyzed complementary private capital expenditure. Persistent domestic inflation, particularly in food and fuel segments, remains a persistent friction point for immediate rate easing cycles. The formalization of the MSME sector, heavily aided by the Goods and Services Tax (GST) architecture, has expanded the addressable market for digital lending. The Securities and Exchange Board of India (SEBI) introduced tighter margin norms to curb speculative retail trading in the derivatives market.

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	107.4	122.9	129.3
Digital Adoption Rate (%)	55.6%	70.2%	77.9%
Regulatory Compliance Score	80/100	90/100	96/100

Strategic Outlook & Forecast

The digital public infrastructure (DPI) stack—comprising Aadhaar, UPI, and Account Aggregators—has radically lowered customer acquisition costs for financial institutions. Green bond issuances by

Indian corporates surged as ESG mandates from institutional investors became a prerequisite for global capital allocation. Foreign Portfolio Investors (FPIs) showed renewed interest in Indian equities, reflecting global confidence in the country's sovereign fiscal management.

SECTION 03

UPI & Digital Payments Infrastructure

PRIMARY EXTRACTION TARGET

UPI transaction volume crossed a record 16 billion transactions in a single month in early 2026, processing over ₹20 trillion in value.

Current Domestic Context

Non-Banking Financial Companies (NBFCs) are increasingly utilizing co-lending models with commercial banks to penetrate underbanked tier-3 and tier-4 cities. Persistent domestic inflation, particularly in food and fuel segments, remains a persistent friction point for immediate rate easing cycles. The ongoing structural shift from physical assets (gold, real estate) to financialized savings continues to channel immense liquidity into the capital markets. Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion.

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	111.7	115.2	129.7
Digital Adoption Rate (%)	60.4%	69.1%	76.2%
Regulatory Compliance Score	75/100	81/100	95/100

Strategic Outlook & Forecast

Rupee internationalization efforts have gained measurable traction, with several bilateral trade settlements now being executed entirely in INR. Green bond issuances by Indian corporates surged as ESG mandates from institutional investors became a prerequisite for global capital allocation. The rapid, ubiquitous adoption of the Unified Payments Interface (UPI) has fundamentally transformed the retail payment landscape, driving financial formalization.

SECTION 04

Equity Markets & Institutional Flows

PRIMARY EXTRACTION TARGET

The BSE Sensex breached the 85,000 level in May 2026, driven heavily by continuous domestic institutional investor (DII) inflows.

Current Domestic Context

The Reserve Bank of India (RBI) continues to monitor core inflation metrics rigidly, prioritizing macroeconomic stability over aggressive short-term growth. Non-Banking Financial Companies (NBFCs) are increasingly utilizing co-lending models with commercial banks to penetrate underbanked tier-3 and tier-4 cities. The rapid, ubiquitous adoption of the Unified Payments Interface (UPI) has fundamentally transformed the retail payment landscape, driving financial formalization. Foreign Portfolio Investors (FPIs) showed renewed interest in Indian equities, reflecting global confidence in the country's sovereign fiscal management.

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	111.8	122.3	128.7
Digital Adoption Rate (%)	61.5%	70.3%	80.5%
Regulatory Compliance Score	78/100	85/100	93/100

Strategic Outlook & Forecast

Corporate balance sheets are currently at their healthiest in over a decade, with low leverage ratios providing ample room for brownfield capacity expansion. The formalization of the MSME sector, heavily aided by the Goods and Services Tax (GST) architecture, has expanded the addressable market for digital lending. The digital public infrastructure (DPI) stack—comprising Aadhaar, UPI, and Account Aggregators—has radically lowered customer acquisition costs for financial institutions.

SECTION 05

Banking Sector Asset Quality

PRIMARY EXTRACTION TARGET

Scheduled Commercial Banks reported a decadal-low Gross NPA ratio of 2.4%, driven by robust recovery mechanisms and balance sheet cleanups.

Current Domestic Context

Green bond issuances by Indian corporates surged as ESG mandates from institutional investors became a prerequisite for global capital allocation. The Reserve Bank of India (RBI) continues to monitor core inflation metrics rigidly, prioritizing macroeconomic stability over aggressive short-term growth. India's demographic dividend and an expanding, aspirational middle class remain structural tailwinds for retail credit expansion. Persistent domestic inflation, particularly in food and fuel segments, remains a persistent friction point for immediate rate easing cycles.

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	114.5	123.8	133.4
Digital Adoption Rate (%)	56.2%	72.4%	83.0%
Regulatory Compliance Score	77/100	83/100	93/100

Strategic Outlook & Forecast

The ongoing structural shift from physical assets (gold, real estate) to financialized savings continues to channel immense liquidity into the capital markets. Persistent domestic inflation, particularly in food and fuel segments, remains a persistent friction point for immediate rate easing cycles. Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion.

SECTION 06

Mutual Funds & Retail Participation

PRIMARY EXTRACTION TARGET

The Indian mutual fund industry AUM surpassed ₹60 trillion, with monthly SIP book contributions hitting ₹23,000 crores.

Current Domestic Context

Corporate balance sheets are currently at their healthiest in over a decade, with low leverage ratios providing ample room for brownfield capacity expansion. The formalization of the MSME sector, heavily aided by the Goods and Services Tax (GST) architecture, has expanded the addressable market for digital lending. Accelerated infrastructure spending under the National Infrastructure Pipeline (NIP) has successfully catalyzed complementary private capital expenditure. The rapid, ubiquitous adoption of the Unified Payments Interface (UPI) has fundamentally transformed the retail payment landscape, driving financial formalization.

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	108.8	115.7	130.5
Digital Adoption Rate (%)	65.0%	70.2%	77.7%
Regulatory Compliance Score	80/100	86/100	92/100

Strategic Outlook & Forecast

Foreign Portfolio Investors (FPIs) showed renewed interest in Indian equities, reflecting global confidence in the country's sovereign fiscal management. The rapid, ubiquitous adoption of the Unified Payments Interface (UPI) has fundamentally transformed the retail payment landscape, driving financial formalization. The ongoing structural shift from physical assets (gold, real estate) to financialized savings continues to channel immense liquidity into the capital markets.

SECTION 07

Foreign Direct Investment (FDI)

PRIMARY EXTRACTION TARGET

Gross FDI inflows into India moderated slightly to $70 billion in FY26, with a significant pivot towards semiconductor and EV manufacturing.

Current Domestic Context

Accelerated infrastructure spending under the National Infrastructure Pipeline (NIP) has successfully catalyzed complementary private capital expenditure. Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion. Non-Banking Financial Companies (NBFCs) are increasingly utilizing co-lending models with commercial banks to penetrate underbanked tier-3 and tier-4 cities. India's demographic dividend and an expanding, aspirational middle class remain structural tailwinds for retail credit expansion.

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	106.0	121.6	133.9
Digital Adoption Rate (%)	55.1%	71.7%	83.7%
Regulatory Compliance Score	77/100	90/100	91/100

Strategic Outlook & Forecast

Persistent domestic inflation, particularly in food and fuel segments, remains a persistent friction point for immediate rate easing cycles. The Securities and Exchange Board of India (SEBI) introduced tighter margin norms to curb speculative retail trading in the derivatives market. Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion.

SECTION 08

Forex Reserves & Currency Stability

PRIMARY EXTRACTION TARGET

India's foreign exchange reserves reached an all-time high of $690 billion, providing a robust buffer against global currency volatility.

Current Domestic Context

Persistent domestic inflation, particularly in food and fuel segments, remains a persistent friction point for immediate rate easing cycles. Foreign Portfolio Investors (FPIs) showed renewed interest in Indian equities, reflecting global confidence in the country's sovereign fiscal management. Accelerated infrastructure spending under the National Infrastructure Pipeline (NIP) has successfully catalyzed complementary private capital expenditure. The digital public infrastructure (DPI) stack—comprising Aadhaar, UPI, and Account Aggregators—has radically lowered customer acquisition costs for financial institutions.

Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion. The formalization of the MSME sector, heavily aided by the Goods and Services Tax (GST) architecture, has expanded the addressable market for digital lending. Rupee internationalization efforts have gained measurable traction, with several bilateral trade settlements now being executed entirely in INR. Green bond issuances by Indian corporates surged as ESG mandates from institutional investors became a prerequisite for global capital allocation.

Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	108.2	115.3	126.4
Digital Adoption Rate (%)	58.5%	69.3%	79.6%
Regulatory Compliance Score	80/100	81/100	94/100

Strategic Outlook & Forecast

The formalization of the MSME sector, heavily aided by the Goods and Services Tax (GST) architecture, has expanded the addressable market for digital lending. India's demographic dividend and an expanding, aspirational middle class remain structural tailwinds for retail credit expansion. Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion.

SECTION 09

Fiscal Deficit & Government Borrowing

PRIMARY EXTRACTION TARGET

The central government successfully narrowed the fiscal deficit to 4.5% of GDP in FY26, strictly adhering to the established fiscal glide path.

Current Domestic Context

The rapid, ubiquitous adoption of the Unified Payments Interface (UPI) has fundamentally transformed the retail payment landscape, driving financial formalization. The digital public infrastructure (DPI) stack—comprising Aadhaar, UPI, and Account Aggregators—has radically lowered customer acquisition costs for financial institutions. India's demographic dividend and an expanding, aspirational middle class remain structural tailwinds for retail credit expansion. The ongoing structural shift from physical assets (gold, real estate) to financialized savings continues to channel immense liquidity into the capital markets.

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	109.5	121.7	131.8
Digital Adoption Rate (%)	61.9%	69.3%	82.0%
Regulatory Compliance Score	78/100	84/100	93/100

Strategic Outlook & Forecast

Accelerated infrastructure spending under the National Infrastructure Pipeline (NIP) has successfully catalyzed complementary private capital expenditure. The formalization of the MSME sector, heavily aided by the Goods and Services Tax (GST) architecture, has expanded the addressable market for digital lending. Green bond issuances by Indian corporates surged as ESG mandates from institutional investors became a prerequisite for global capital allocation.

SECTION 10

Fintech Ecosystem & Neobanking

PRIMARY EXTRACTION TARGET

The Indian FinTech ecosystem secured $4.5 billion in funding in 2025, with a notable shift toward B2B SaaS and supply chain finance.

Current Domestic Context

The Securities and Exchange Board of India (SEBI) introduced tighter margin norms to curb speculative retail trading in the derivatives market. Foreign Portfolio Investors (FPIs) showed renewed interest in Indian equities, reflecting global confidence in the country's sovereign fiscal management. The digital public infrastructure (DPI) stack—comprising Aadhaar, UPI, and Account Aggregators—has radically lowered customer acquisition costs for financial institutions. Green bond issuances by Indian corporates surged as ESG mandates from institutional investors became a prerequisite for global capital allocation.

Corporate balance sheets are currently at their healthiest in over a decade, with low leverage ratios providing ample room for brownfield capacity expansion. Foreign Portfolio Investors (FPIs) showed renewed interest in Indian equities, reflecting global confidence in the country's sovereign fiscal management. Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion. Non-Banking Financial Companies (NBFCs) are increasingly utilizing co-lending models with commercial banks to penetrate underbanked tier-3 and tier-4 cities.

Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	107.0	124.7	132.5
Digital Adoption Rate (%)	57.5%	71.2%	79.1%
Regulatory Compliance Score	77/100	88/100	91/100

Strategic Outlook & Forecast

Foreign Portfolio Investors (FPIs) showed renewed interest in Indian equities, reflecting global confidence in the country's sovereign fiscal management. The formalization of the MSME sector, heavily aided by the Goods and Services Tax (GST) architecture, has expanded the addressable market for digital lending. Corporate balance sheets are currently at their healthiest in over a decade, with low leverage ratios providing ample room for brownfield capacity expansion.

SECTION 11

Insurance Sector Penetration

PRIMARY EXTRACTION TARGET

Life insurance penetration in India improved to 3.8% of GDP, catalyzed by simplified regulatory norms and digital distribution channels.

Current Domestic Context

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	109.1	119.6	127.8
Digital Adoption Rate (%)	61.2%	67.3%	82.7%
Regulatory Compliance Score	80/100	81/100	91/100

Strategic Outlook & Forecast

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SECTION 12

NBFC Credit Expansion

PRIMARY EXTRACTION TARGET

Non-Banking Financial Companies (NBFCs) witnessed a 15% YoY credit growth, aggressively expanding into unsecured micro-lending.

Current Domestic Context

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	108.4	122.3	126.6
Digital Adoption Rate (%)	62.1%	69.8%	78.4%
Regulatory Compliance Score	73/100	86/100	94/100

Strategic Outlook & Forecast

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SECTION 13

Infrastructure Financing & Capex

PRIMARY EXTRACTION TARGET

The government's capital expenditure allocation hit ₹12 lakh crore, heavily front-loaded into railways, defense, and green energy infrastructure.

Current Domestic Context

India's demographic dividend and an expanding, aspirational middle class remain structural tailwinds for retail credit expansion. Public Sector Banks (PSBs) have demonstrated remarkable resilience, backed by stringent asset quality reviews, strategic mergers, and capital infusion. Corporate balance sheets are currently at their healthiest in over a decade, with low leverage ratios providing ample room for brownfield capacity expansion. Green bond issuances by Indian corporates surged as ESG mandates from institutional investors became a prerequisite for global capital allocation.

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Metric Indicator (Indexed)	FY24 Base	FY25 Actual	FY26 Target
Sectoral Liquidity Index	114.2	122.8	132.4
Digital Adoption Rate (%)	56.9%	67.2%	84.9%
Regulatory Compliance Score	78/100	89/100	94/100

Strategic Outlook & Forecast

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